



**TERM SHEET
FOR AN EQUITY INVESTMENT**

in

[Name of the company] (the "**Company**")

This term sheet ("**Term Sheet**") summarizes the principal terms of a potential investment ("**Series A Capital Round**") in the Company. It is for discussion purposes only, and except as specifically set forth below there is no legally binding obligation on the part of any negotiating party until definitive agreements are signed and delivered by all parties. This Term Sheet does not constitute an offer to sell nor an offer to purchase securities in the Company.

1. Investment Terms	
Issuer	[...] GmbH, to be converted into a stock corporation (<i>Aktiengesellschaft</i>) prior to the completion of the Series A Capital Round (the " Conversion ")
Lead Investor	[...] AG
Investment Amount	CHF [1'500'000] (" Investment Amount ") divided into: CHF [1'000'000] by the Lead Investor; and CHF 500'000 by the Co-Investor
Type of Security	[...] newly issued preferred A shares (<i>Vorzugsaktien A</i>) with a nominal value of CHF [...] each (" Preferred A Shares ")
Issue Price per Preferred A Shares	CHF [...] (" Issue Price ")
Pre-money Valuation	The fully diluted pre-money valuation corresponds to CHF [x] million (including the effects of shares issuable to holders of options, warrants and other convertible securities of the Company, if any; excluding any shareholder loans)
Shareholder Structure at the date hereof (pre Conversion)	[...]: 50 common shares 25 % of issued share capital [...]: 50 common shares 25 % of issued share capital [...]: 50 common shares 25 % of issued share capital [...]: 50 common shares 25 % of issued share capital ----- Total 200 common shares 100 %

Employee Participation / Option Pool	Per First Closing (as defined below), the Company shall create a conditional share capital in the maximum amount of 10 % of the company's capital. Such capital shall form the underlying of an option pool to be implemented after the First Closing for future employee participation.
Staggered Investment	The Investment Amount shall be invested by the Lead Investor and the Co-Investor at two different stages as follows: 1. The "First Stage Payment" of [50]% of the Investment Amount shall be invested (via capital increase) pro rata by the Lead Investor and the Co-Investor at the First Closing (as defined below); 2. The "Second Stage Payment" of the other [50]% of the Investment Amount shall be invested (via capital contribution) pro rata by the Lead Investor and the Co-Investor at the second closing which shall occur within 20 business days after the last of the following conditions is met (the "Second Closing"): (i) [...], and (ii) absence of material adverse change which makes the further development of the Company's product(s) commercially unreasonable ((i) and (ii) each an "Investment Condition"). If at least one of Investment Conditions is not met, the Lead Investor and the Co-Investor are entitled, but not obliged, not to make the Second Stage Payment and to waive further investments. It is the board who shall determine with a two third (2/3) majority of the votes of all directors, which must include the vote of at the Lead Investor's Director (as defined below) whether or not the Investment Conditions are met.
Shareholder Structure after Series A Capital Round (after Second Closing)	As of completion of the Series A Capital Round the Company shall have an issued share capital of CHF [...] divided into [...] common shares and [...] Preferred A Shares with a nominal value of CHF [...] each and the ownership structure of the Company on a fully diluted basis and the holdings of each shareholder in the respective class of shares shall be as set forth in the Cap Table in <u>Annex 1</u> .
Use of Proceeds	All activities consistent with the business plan (as set forth in <u>Annex 2</u>; the "Business Plan") and as provided for in this Term Sheet. The Investment Amount shall not be used for the reimbursement of capital commitments by any of the shareholders, to pay

	any undisclosed off-balance sheet expenses or to repay any loans of the Company.
Preference A Amount	Preference A Amount shall correspond to the 1.5x Investment Amount.
Dividends	If the shareholder's meeting resolves to declare a dividend in cash, in kind or otherwise, it shall be allocated in first priority to the holders of Preferred A Shares. The maximal amount of preferred dividends shall not exceed 1.5x the Preference A Amount less any proceeds received by the holders of Preferred A Shares resulting from a voluntary or non-voluntary liquidation, a dissolution or winding up or a Sale of the Company (together with a dividend event, each an "Exit/Liquidation Event"), whereby a "Sale" shall mean the sale, transfer or other disposal (whether through a single transaction or a series of related transactions) of shares in the Company that result in a change of control or the sale of a major part of the Company's assets. Further dividends to be paid to the holders of Preferred A Shares and the holders of common shares pro rata to their respective aggregate holdings of shares in the then issued share capital of the Company will be paid only provided the Preference A Amount has been fully paid once.
Liquidation Preference	In an Exit/Liquidation Event, the proceeds resulting therefrom shall, after deduction of all costs and expenses, be allocated as follows: 1. In first priority and up to <u>Subject to the Preference A Amount to paragraph 2 below,</u> the holders of Preferred A Shares pro rata to their holdings shall be entitled to receive, prior to and in the Preferred A Shares. 1. In second priority, after the payment of the Preference A Amount preference to the holders of Preferred A Shares, <u>the common shares, an amount equal to the Preference A Amount. The</u> remaining proceeds shall be distributed rateable among the holders of common shares pro rata to their respective aggregate holdings of shares. 2. If, on an as converted basis, the proceeds to be distributed to the holders of Preferred A Shares exceed an amount equal to the Preference A Amount then the entire proceeds shall be distributed as follows: o The Preferred A Shares shall be entitled to receive, prior and the in preference to holders of common shares, an

	<u>amount corresponding to the distribution according to pro-rata ownership among all shares, whether common shares or Preferred A Shares, without liquidation privileges.</u> o <u>After such distribution of proceeds to the holders of the Preferred A Shares, the remaining proceeds shall be distributed according to pro-rata ownership among common shares only.</u>
Voluntary Conversion	Holders of Preferred A Shares may convert their Preferred A Shares at any time into common shares at the conversion rate of one-to-one to be adjusted from time to time based on certain corporate events.
Mandatory Conversion	Subject to the written consent of the Lead Investor's Director, each Preferred A Share will be automatically converted into common shares of the Company at the then applicable conversion rate upon an IPO or a Sale.
Subscription Preference	Except for shares to be delivered under employee participation the holders of Preferred A Shares shall have a preferential right to subscribe for any new equity or equity related securities offered by the Company at the same terms and conditions as specified in such offer, i.e. that new equity or equity related securities offered shall be available to the holders of Preferred A Shares in their entirety, if requested so by the holders of Preferred A Shares.
Anti-Dilution	In the event the Company issues shares or equity-related securities at a subscription or purchase price below the Issue Price, the holders of Preferred A Shares shall be entitled to a broad-based weighted average adjustment to reduce dilution. The anti-dilution adjustment shall be effected (i) by a transfer of such number of issued and outstanding shares of common shares by the holders of common shares to the holders of the Preferred A Shares on a pro rata basis and at no additional consideration or, if such transfer is not sufficient to cover the anti-dilution adjustment, (ii) by the issuance to the holders of Preferred A Shares of the required number of additional new Preferred A Shares, at nominal value. The anti-dilution adjustment shall not apply in the following events: (i) common shares issued upon conversion of, or as a dividend or distribution on, the Preferred A Shares; (ii) shares (incl. non-voting shares) reserved as employee shares described under "Employee Participation / Option Pool" above; (iii) share splits; and (iv) shares issued in connection with an IPO,

	mergers, acquisitions, strategic transactions, and debt financings approved by the Board, including the Lead Investor's Director.
2. Governance Terms	
Voting Rights	Each Preferred A Share carries one vote; i.e. the same vote as each common share.
Qualified Majorities	Important shareholders matters as listed in Part A of <u>Annex 3</u>: An affirmative vote requires the approval by at least $66\frac{2}{3}\%$ of shareholder votes issued by the Company which must including a majority of the votes of the holders of Preferred A Shares. Important board matters as listed in Part B of <u>Annex 3</u>: An affirmative vote requires the approval by the simple majority of the board members present at the meeting including the vote of the Lead Investor' Director.
Board Composition	The board shall comprise of a maximum of five (5) directors. The Lead Investor shall have the right to be represented on the board by one (1) director nominated by the Lead Investor for election by the shareholders' meeting irrespective of its participation held in the Company (the "Lead Investor's Director"). The Founders shall have the right to be represented on the board by two (2) directors nominated by the Founders for election by the shareholders' meeting as long as they hold together more than 5030 % of the shares in the Company (each a "Founder Director" and together the "Founders' Directors"). In case the participation of the Founders in the Company falls below 5030 % of the shares in the Company, than the right of the Founders shall be reduced to the right to nominate one (1) director for election by the shareholders' meeting. The Lead Investor's Director and the Founders' Director shall unanimously nominate for election by the shareholders' meeting, as soon as possible after the Second Closing, an experienced business executive with an extensive industry network capable of providing direction and facilitating customer access in markets critical to the development of the Company as determined by the board (the "Expert Director").
Board Observer	The Lead Investor shall have the right to designate two (2) person who shall be permitted to attend all meetings of the board and its committees as an observer (the "Board Observer"). The Board Observer shall be entitled (i) to participate, without voting rights, in all board meetings and in the relevant discussions, (ii) to receive the same information as directors, and (iii)

	to be invited to board (committee) meetings in the same manner as directors.
Information Rights	The Lead Investor will receive the information listed below and will have the right (i) to discuss any issues relating to its investment and the Company with the Company and (ii) to periodically inspect the books, records and facilities of the Company: 1. Within 90 calendar days of the end of each financial year, audited financial statements; 2. Within 30 calendar days of the end of each fiscal quarter, unaudited quarterly financial statements and a 12 month rolling forecast; 3. Within 14 working days of the end of each month, monthly management accounts (i.e. balance sheet, profit and loss statement, cash flow statement); and 4. No later than 30 calendar days prior to the end of each half year, the proposed budget for the following 12 months.
3. Transfer Restrictions and Obligations	
General Transfer Restrictions	No transfer other than transfers in accordance with the customary transfer restrictions to be set forth in the Series A Shareholders Agreement shall be permitted.
Right of First Refusal	Each Party shall grant: (a) in first priority to the holders of Preferred A Shares; (b) <u>(a)</u> in second priority to the Company (within the limitations of Art. 659 of the Swiss Code of Obligations [the "CO"] and Art. 680 CO) or to a third party designated by the Company; 680 CO; and (e) <u>(b)</u> in third <u>second</u> priority to the other shareholders <u>pro rata to their shareholding</u>; a right of first refusal to purchase any shares any shareholder wishes to transfer to another shareholder or a third party in any transaction other than a transfer of the Lead Investor to an affiliate of the Lead Investor. If a shareholder does not exercise his/her/its right of first refusal such right will accrue to the other shareholders (<i>pro rata</i> to their shareholding).
Tag-Along Right	The holders of Preferred A Shares <u>All shareholders</u> shall have the right to sell <u>up to</u> their entire shareholding in the event of a transaction which results in any party holding 50-% or more of the outstanding shares of the Company. The other shareholders

	shall have the right to participate pro rata to their relative shareholding in such transaction.
Drag-Along Right	In the event a shareholder or a group of shareholders, representing individually and/or together 90 % of the aggregate shareholding in the Company, wish(es) to sell all its/their shares in the Company in one or a series of related transactions to a proposed acquirer (including another shareholder) who wishes to acquire all (but not less than all) shares in the Company pursuant to a bona fide purchase offer (the " Drag-Along Event "), this/these shareholder(s) shall have the right (but not the obligation) to require all other shareholders to sell, and the other shareholders hereby irrevocably agree to sell, all of their shares then held to the proposed acquirer for the same consideration per share and otherwise at the same terms and conditions as applicable to the relevant selling Shareholder(s).
Right to Match of the Lead Investor	The Lead Investor shall have a right to match any offer made by a third party (including another shareholder of the Company) In case a transfer of shares in the Company resulting in a Drag-Along Event shall occur (i) to a direct competitor of the Lead Investor or of one of its affiliates (a "Direct Competitor") or (ii) to a legal entity directly or indirectly owned or otherwise controlled by a Direct Competitor (a "Controlled Entity") or (iii) to a legal entity controlling a direct competitor (a "Controlling Entity"; a Direct Competitor, a Controlled Entity and a Controlling Entity each a "Competitor"), the Lead Investor shall have a right to match any offer made by such a Competitor in a Drag-Along Event, i.e. a right to acquire all relevant shares at the same terms and conditions as offered by such third party (including another shareholder of the Company) <u>Competitor</u> (the " Right to Match "). The Lead Investor's Right to Match shall prevail and take preference over the Drag-Along Right.
Purchase Option	The holders of Preferred A Shares <u>All shareholders</u> shall have an option to purchase the shares of another shareholder upon the occurrence of the following events: 1. such shareholder dies, becomes incapable to act or otherwise loses its capacity to exercise its rights and obligations under the Series A Shareholder Agreement; 2. such shareholder becomes insolvent, bankrupt or petitions or applies to any court, tribunal or other authority for creditor protection or for the appointment of, or there shall otherwise be appointed a liquidator, trustee or other similar officer;

	3. such shareholder commits a criminal act against the interests of another shareholder of the Company or the Company; 4. such shareholder materially breaches a provision of the Series A Shareholder Agreement (unless such breach and its effects are fully cured within an agreed period of days); or 5. any board membership (other than the board membership of the Lead Investor's Director), employment or consultancy agreement, as the case may be, between such shareholder <u>(other than the Lead Investor)</u> and the Company is terminated. In case of 1 and in case of a good leaver situation under 5 above, the purchase price shall be the higher of the Fair Market Value and the nominal value of the shares; whereby "Fair Market Value" shall be determined by an independent and reputable auditor. If the parties cannot agree on such an auditor within twenty (20) calendar days after the relevant above event, the president of the Zurich Chamber of Commerce shall nominate the auditor to determine the Fair Market Value. Other than as per 1 and a good leaver situation under 5 above, the purchase price shall be the lower of the Fair Market Value and the nominal value of the shares.
Founders' Stock Restrictions	The outstanding common shares currently held by the Founders will be subject to a five (5) year monthly vesting term and one (1) year cliff.
4. Miscellaneous	
Confidentiality	The terms and existence of this Term Sheet are confidential and will not be disclosed by the undersigned except as otherwise agreed in advance by each of the Parties hereto.
Employment Agreement	Each of the Founders shall enter into employment agreements with the Company on terms agreed with the Lead Investor (in particular provisions re non-solicitation and non-compete). As a condition precedent to the First Closing, all employees of the Company have to assign any and all intellectual property rights developed by them for the Company and used by the Company to the Company.
Exclusivity	From the date hereof until [date], or such earlier date upon which the Lead Investor and the Company agree in writing to terminate discussions contemplated by this Term Sheet, the Company, the Founders and the other Common Shareholders

	will not, directly or indirectly, solicit or participate in any way in negotiations with, or knowingly provide any information to, any person (other than the Lead Investor or any representative of the Lead Investor) concerning any potential investment in the debt or equity securities of the Company (an " Alternative Proposal ") or otherwise facilitate any effort or attempt to make or consummate an Alternative Proposal.
Documentation	The investment into the Company is subject to contract and shall be made pursuant to the agreements and documents listed below: 1. Investment Agreement (such agreement to contain, among other things, representations and warranties of the Company, to the broadest extent permitted by law, and the founders customary for a transaction of this nature, covenants of the Company reflecting the provisions set forth herein and such other matters as the Lead Investor shall reasonably request) (drafted by the Lead Investor's counsel); 1.2. Shareholders Agreement (replacing any existing shareholders agreement among shareholders of the Company) (drafted by the Lead Investor's<u>Company's</u> counsel); 2.3. Articles of Association (drafted by the Company's counsel); and 3.4. Organizational (Board) Regulations (drafted by the Company's counsel).
Legal Fees and Expenses	The Company will reimburse the Lead Investor, or pay at the direction of the Lead Investor, for the reasonable legal fees and expenses incurred by counsel to the Lead Investor, payable at First Closing such fees and expenses not to exceed CHF [50<u>35</u>,000]. Should the investment not complete each party shall pay for their own costs.
Timing	Due Diligence: [date] Negotiations: [date] Signing: [date] First Closing: [date] End of Exclusivity: [date]
Effect of Term Sheet	The parties expressly agree that, with the exception of the obligations as set out under the headings "Confidentiality", "Exclusivity", "Legal Fees and Expenses", "Effect of Term Sheet" and

	"Governing Law" which are intended to be and shall be legally binding, no binding obligations shall be created by this Term Sheet until definitive, legally binding agreements are executed and delivered by the parties.
Governing Law	This Term Sheet is governed by Swiss law and subject to the exclusive jurisdiction of the ordinary courts of <u>Zurich 1</u> , Switzerland.

SAMPLE

Place, date: _____

[Company]

Name:

Name:

Place, date: _____

Lead Investor

Name:

Place, date: _____

Other Investor

Name:

Annex 1 – Cap Table

[Separate document]

SAMPLE

Annex 2 – Business Plan

[Separate document]

SAMPLE

Annex 3 – List of Important Shareholder and Board Matters

Part A – Important Shareholder Matters

Each of the following decisions shall be an important shareholder matter and shall require the consent requirements set forth in the Term Sheet:

- a. any amendment of the Company's articles of association;
- b. any creation of shares with preferential rights of any kind, shape or form or with privileged voting rights;
- c. any amendment to the restriction of the transferability of shares;
- d. any authorized or conditional capital increase;
- e. any increase of capital against the Company's equity, against contributions in kind, or for the purpose of acquiring assets or the granting of special benefits;
- f. any limitation or withdrawal of subscription rights;
- g. any change of the corporate name or registered office of the Company;
- h. any sale of all or substantially all of the assets of the Company;
- i. any merger, demerger or similar reorganization of the Company;
- j. the liquidation of the Company;
- k. any resolution on dividend payments or other distributions to the shareholders;
and
- l. the election of the auditors of the Company.

Part B – Important Board Matters

Each of the following decisions shall be an important board matter and shall require the consent requirements set forth in the Term Sheet:

- a. material change of strategy of the Company;
- b. the approval of the budget, and any change thereto;
- c. the sale, disposal or transfer of all or substantially all of the Company's business and/or assets;
- d. any sale of or granting of licences of any intellectual property rights of the Company to any third party outside the ordinary course of business;
- e. any acquisition of a business or any part thereof (whether a share or asset transaction);
- f. any investment, capital expenditure, sale of assets, incurrence of debt or any contract obligation by the Company in excess of CHF 80'000 (whether by a single

- transaction or a series of related transactions) unless such expenditure has been specifically provided for in the budget;
- g. the appointment and removal of the Company's CEO and all other members of the management;
 - h. the approval and amendment of any share option plan and option and/or share grants to the management, other employees or third party directors, the issuance of shares or equity-related securities out of the Company's authorized or conditional share capital (including the determination of the issue price, the date for the entitlement for dividends and the type of contribution therefore), except in respect to any shares issued in accordance with anti-dilution adjustments;
 - i. the creation of any security interests upon any part of the Company's property or assets in any form whatsoever exceeding CHF 50'000 in aggregate (whether by a single transaction or by a series of related transactions) save as set forth in the budget or in the ordinary course of business;
 - j. the issuance of shares or equity related securities out of the Company's authorized or conditional share capital or grant of any instruments convertible into equity of the Company (including the determination of the issue price, the date of the entitlement for dividends and the type of contribution therefore);
 - k. the execution of any merger, demerger or asset transfer agreement according to Swiss Merger Act (*Vermögensübertragung gemäss Fusionsgesetz*);
 - l. the entering into a joint venture agreement or the acquisition of a participation in a legal entity other than the Company;
 - m. any related-party transactions or arrangements including variations thereof;
 - n. any material change in accounting policies or principles save with the prior approval of the Company's audit company;
 - o. any transfer of shares other than in accordance with the transfer restrictions set forth in the Shareholders Agreement;
 - p. the entering into a loan agreement with a shareholder (i.e., a loan from and/or to a shareholder);
 - q. any amendment or modification of the Organizational (Board) Regulations.